

The Future Holiday Island

Session 2

Protecting Our Citizens

Presentation Date 7-11-26

Revision made 7-13-26



Session 2

- **Session one, presented on 5-2-26, was a feasibility study on what it would take for the city to assume all the services currently provided by HISID.**
- **In this session, a question will be posed.**

Is there interest in and support for Holiday Island having a police department?

Review of 5-2-26

I remember my teachers in school always starting a class by saying “let’s review what we did yesterday”. By doing so the students that missed the previous session were somewhat brought up to speed plus it reinforced the important factors leading up to the current topic.

So, Let’s Review!

5-6-26's Discussion

- **The prospects for Suburban Improvement Districts**
- **The current level of spending**
- **Budgets for cities of comparable size**
- **Sources of revenue**
- **A future city feasibility budget**

Prospects for Suburban Improvement Districts

In two words “Not Good”

Horseshoe Bend, Cherokee Village, and Ozark Acres have exhausted their assessed benefit and can no longer levy an annual assessment to maintain the infrastructure.

Diamondhead is a POA but incorporated in 2024 over issues with a new Developer.

2026 Expense Budgets

City:

• Administration	\$200,231
• Buildings and Construction	23,209
• Code Enforcement – Animal Control	77,417
• District Court	9,550
• Planning and Zoning	8,353
• Public Safety (sheriff and fire dept)	221,600
• Solid Waste	2,566
• Streets & Roads	<u>94,475</u>
Subtotal City	637,401

HISID

• Administration	890,343
• Sewer and Water	1,086,322
• Roads (net of city contribution)	292,826
• Fire Department (net of city cont.)	474,081
• Recreation	<u>1,531,305</u>
Subtotal HISID	<u>4,274,877</u>
Combined	\$4,912,278

2026 Operating + Capital Improvements

Capital Improvements

City

- Road resurfacing \$573,287

HISID

- General 75,000
- Water Department 200,000
- Road Department 210,940
- Recreation 136,500

Total Capital Improvements 1,195,727

Operating Expense (from previous slide) 4,912,278

Total Holiday Island Budget \$6,108,005

Cities of Comparable Size

- **West Fork population 3131 \$4,454,884**
- **Green Forest population 2972 \$3,496,800**

Why so different?

- 1. We are very spread out**
- 2. Most of us are retired and/or retirement age**
- 3. We have above average recreational amenities**

Revenue Sources

Cities in Arkansas have limited sources of revenue.

- **Sales tax** which must be approved by voters
- **Property tax** limited to 5 mills (\$.005 x 20% of assessed property value)
- **Fuel tax** turnback funds from the State for road maintenance
- **Franchise fees** (limited to 4.25% of taxable revenue)
- **Fees for services** provided (water sales, sanitation fees, use of recreational facilities, etc.)
- **Special purpose district fees** (*Urban Service Districts*)

If you did not attend the workshop on May 2nd where I made a feasibility presentation about the possibility of the city totally replacing the Suburban Improvement District, I highly recommend that you go to the city website www.cityofholidayisland.com, click on the About/Contact tab, select services, and click on the feasibility presentation link. It will provide you with a broader picture of what we are looking at as far as long term planning.

And now for the new stuff!

Police and Fire Protection

Turning a Feasibility Study Into a Plan

Step #1:

Decide if we're going to keep doing things the same way or make some changes.

Step #2:

Determine if there is support to provide the funding.

What is the City's responsibility for safeguarding our people and property.

“...to provide law enforcement services for the city and its inhabitants in a manner that will most effectively preserve the peace of the city, secure the citizens from personal violence, and safeguard their property.”

What do we need?

- **Nobody needs a fire department until their house is on fire.**
- **Nobody needs emergency response personnel until they are having a heart attack.**
- **And likewise, nobody needs a police department or deputy until:**
 1. **A stranger is rummaging around on their porch at 2:00 in the morning.**
 2. **Someone stole a bicycle out of their garage.**
 3. **People routinely speed past their house when they are getting their mail.**
 4. **The neighbors keep them up all night dealing drugs.**
 5. **Their mail gets stolen out of their mailbox.**
 6. **Their spouse gets drunk and beats them up.**
 7. **Their house gets broken into while they are on vacation.**
 8. **Somebody chains a bunch of dogs to trees and abuses them.**
 9. **They're 500 miles away and grandma isn't answering her phone.**

February 2026 Statistics

This is a summary of deputy responses for February when we had 183 hours of deputy coverage.

Sheriff Department	Feb
Medical/lift assist/citizen assist/welfare check	55
911 response	18
Civil process/dispute/disturbance	15
Crime	13
Fire	11
Traffic	9
All other	<u>21</u>
Total calls	142

It's important to note that had we had more patrol hours, incidents of dealing with criminal activity and traffic would have been significantly higher.

Options

1. Per A.C.A. Annotated §14-52-102 a city of the second class may establish a police department.
2. Per A.C.A. Annotated §14-52-101 a city of the first class shall establish a police department.
3. But, per the statutes, the governing body of the city (1st or 2nd class) can enter into an agreement for providing law enforcement services with an existing enforcement agency in lieu of establishing a police department. In our case, the sheriff department or Eureka Springs police department.
4. Per A.C.A. Annotated §14-52-103 a city of the second class may establish by ordinance either a police department or a city marshal's office. This is not an option for cities of the first class.

What is NOT an option is doing nothing. A second-class city in Arkansas can choose to let the county sheriff handle law enforcement instead of creating its own police department, as long as it formally contracts or agrees with the sheriff's office to provide those services.

Current Situation

- **Currently the City contracts with the Carroll County Sheriff Department to provide two full time deputies or the equivalent 80 hours per week to patrol Holiday Island.**
- **Due to staffing shortages or other reasons, the county can typically only provide 55 to 70 hours per week.**
- **The city pays the sheriff department \$31.28/hr. for the patrol hours reported. The annual cost to the city for two full time deputies is \$130,125.**
- **The current contract expires at the end of 2026. A new contract, provided the County is willing to engage in another contract, is almost certain to increase the cost.**

Nine Reasons Why Holiday Island Might Choose a Police Department Over the Deputy Contract.

Jurisdiction and Service Needs

A police department's authority extends to the city's boundaries. Officers patrol streets, respond to 911 calls, and investigate crimes within the city. A sheriff's authority covers the entire county, including rural areas, unincorporated towns, and county facilities. Since a city's needs are patrolling urban or suburban streets and local crime, it may prefer a dedicated department for faster, more targeted response.

Cost and Resource Allocation

While contracting with the sheriff will save money, there is value in creating and maintaining our own department. This can include direct control over budgets, staffing, and equipment. But most importantly avoiding the need to share resources with the county. Under today's arrangement with the county, the needs of the county take priority which historically means that the city does not get the desired number of patrol hours.

Cost vs Coverage

Contracting for 80 hours per week of patrol, even when the county can provide the full contracted hours, leaves the city dependent on the county for response to 911 calls over 50% of the time. If a deputy is not on duty in Holiday Island and a 911 response is needed, the nearest deputy could be 40 miles away and possibly tending to another emergency thus preventing him/her from responding.

Community Control

A police chief is appointed by the city's governing body (city council), giving the city more direct control over hiring, policies, and community relations. This can be important for maintaining local priorities and accountability to residents.

Specialized or Unique Needs

Holiday Island has the unique challenge of having 71 miles of road with dozens of isolated homes. The isolated nature of these areas makes those residents more vulnerable to crime, the properties more likely to house criminal activity, and harder to get to in case of an emergency. Having the situational awareness that comes with a dedicated permanent police force would be an advantage.

Traffic/ Crime Prevention

Writing a speeding ticket now and again is a great deterrent to speeding. But knowing that your chances of getting caught are slim to none is also an incentive to ignore the speed limits. Having more staff doing more patrolling significantly reduces the incentive to speed.

The same can be said for criminal activity. Holiday Island cannot become known as a safe haven for criminal activity.

Revenue

While a city should not use fines as a source of revenue to operate the city, revenue from fines is a proper way for the cost of providing law enforcement to be borne by those breaking the law. At least in part.

Today any fine revenue generated from traffic violations or criminal prosecution goes to the county. If we had a police department, that revenue would come back to the city.

Assistance with Code Enforcement

By law the sheriff's department cannot enforce city ordinances. Code enforcement officers can at times be operating in potentially dangerous areas with potentially dangerous people. A police officer could assist in code enforcement and are trained and equipped to operate in these types of potentially dangerous situations.

Community Connection and Involvement

Historically, the Holiday Island community has had a great relationship with the fire department. The fire chief has always been well known and liked in the community as are the fire fighters. And even though the deputies that serve Holiday Island are great talented professionals as is Sheriff Klatt, it is not likely that the sheriff's department can develop the same community connection that a stable police force would.

In summary, there are many benefits to Holiday Island having its own police department. But it comes with a price tag. The community must make a decision if they want to take that next step.

Typical Patrol Coverage Under Sheriff Contract

Sunday	Monday	Tuesday	Wednesday	Thursday	Friday	Saturday	
1 Micah-10 Other-0	2 Micah-10 Other-0	3 Micah-10 Other-2.75	4 Micah-0 Other-0	5 Micah-10 Other-1.25	6 Micah-0 Other-1.75	7 Micah-0 Other-0 Total-45.75	TOTAL HOURS SUBMITTED: 183
8 Micah-0 Other-0	9 Micah-10 Other-0	10 Micah-10 Other-0	11 Micah-0 Other-0	12 Micah-0 Other-0	13 Micah-11 Other-0	14 Micah-10.75 Other-0 Total-41.75	
15 Micah-10.5 Other-0	16 Micah-0 Other-0	17 Micah-10 Other-.75	18 Micah-11 Other-1	19 Micah-11 Other-0	20 Micah-0 Other-1	21 Micah-0 Other-0 Total-45.25	TOTAL CALLS FOR SERVICE:94
22 Micah-0 Other-0	23 Micah-10 Other-0	24 Micah-0 Other-1.25	25 Micah-0 Other-2.25	26 Micah-0 Other-.75	27 Micah-0 Other-1.75	28 Micah-10 Other-1 Total-27	
29 Micah-10 Other-1.75	30 Micah-0 Other-0	31 Micah-10 Other-1.5 Total-23.25					

Summary of Current “Typical” Month

Coverage	Days
No coverage	9
Less than three (3) hours coverage	6
Three (3) to ten (10) hours coverage	0
Ten (10) to thirteen (13) hours coverage	16
Greater than thirteen (13) hours coverage	0
 Total Hours of coverage for the month	 183
Total Hours in that month	744
% of time covered	25%

Coverage Using Three Full Time Officers

	Patrol Schedule			Coverage Hours.
	1	2	3	
Mon				16
Tue				16
Wed				24
Thu				24
Fri				24
Sat				7
Sun				7
Hours covered				118
Hours in a week				168
% of coverage				70%

30% of the time there is no coverage. Plus, other random gaps for vacation and training.

What does AI say we need?

For a town of about 2,500 residents, national data shows that small departments (under 2,500 people) average roughly 3.8 sworn officers per 1,000 residents [legalclarity.org](https://www.legalclarity.org). This is higher than the national average of 2.4 per 1,000, because small agencies must maintain a minimum number of officers to cover shifts around the clock, even with low call volumes.

Coverage Using Four Full Time Officers and One Part Time

Coverage Schedule						Coverage Hours	Allows for 24/7 coverage with some spare hours to cover vacation and training.
	Full time	Full time	Full time	Full time	Part time		
	1	2	3	4	5		
Mon						24	
Tue						24	
Wed						32	
Thu						32	
Fri						32	
Sat						24	
Sun						24	

Start Up Cost for four officer department.

\$282,700

Initial investment

Vehicles	160,000
Equipping vehicles	60,000
Emergency response equipment	1,000
Speed detection equipment (radar)	1,200
Equipping (4) officers	
Pistol/duty belt/holster/ handcuffs/radio pouch/flashlight	4,000
Uniforms/ shirts/ pants/ jacket/caps/boots	4,000
Body armor / ballistic vest	4,000
Badges/ identification	300
Back up firearms	
(4) 12- gauge shotguns	2,400
(2) Rifles (like the bad guys have)	2,400
Rifle ammunition	1,600
Shotgun shells	1,000
Pistol ammunition	400
Gun safe	1,000
Equipping office	<u>14,400</u>
Initial investment	257,700
Documentation, policies, procedures, training, certification	<u>25000</u>
Total start up cost	282,700

Employee Cost

Employee	Salary	Benefits	Total
Police chief - salaried - Manager/investigation/patrol	67,000	23,450	90,450
Captain - Patrol	59,280	20,748	80,028
Full time officer - hourly - Patrol	44,809	15,683	60,492
Full time officer - hourly - Patrol	44,809	15,683	60,492
Part time - hourly - Code enforcement	26,000	0	26,000
Travel/Training		0	5,000
Overtime	<u>7,081</u>	<u>2,478</u>	<u>9,559</u>
Total employee expense	248,979	78,043	332,022

Operating Cost

Operating expense	
Vehicle	42,000
Rent	6,000
Utilities	1,800
Telephone & internet	12,000
Insurance	2,000
Maintenance	2,500
Supplies	2,400
Ammo	500
Memberships/subscriptions	500
Prisoner housing	2,500
Radios	1,000
Uniforms	3,000
Dispatch	0
Total Operating expense	76,200

Operating Expense Continued

Subtotal employee and operating	408,222
Contingency @10%	<u>40,822</u>
Total Operating Budget	449,044
Capital Spending	<u>60,000</u>
Total Police Department Budget	509,044

Total Police Department Budget number used in the 5-2-26 presentation was \$475,931 and was based on a three-officer department. Which is still an option.

The Marshal Option

A.C.A. Annotated §14-52-103

(a) The marshal of cities of the second class shall execute and return all writs and process directed to him or her by the mayor. In criminal cases or cases of a violation of the city ordinance, he or she may serve them in any part of the county.

(b) It shall be the marshal's duty to:

- (1) Suppress all riots and disturbances and breaches of the peace;**
- (2) Apprehend all disorderly persons in the city;**
- (3) Pursue and arrest any person fleeing from justice in any part of the state; and**
- (4) Apprehend any person in the act of committing any offense against the laws of the state or ordinances of the city and forthwith to bring such persons before the mayor, or other competent authority, for examination or trial.**
- (c) The marshal shall have power to appoint one (1) or more deputies, for whose official acts he or she shall be responsible.**
- (d) In the discharge of his or her proper duties, the marshal shall have like powers, be subject to like responsibilities, and receive the like fees as sheriffs and constables in similar cases.**

Cost of Marshal vs. Police

Benefits for police officers in Arkansas are essentially established by State Statute (Title 14 Chapter 52). Benefits for Marshals and subordinate officers are set by the city council. This can reduce operating cost assuming it does not hinder recruitment. But in order to have the authority to enforce criminal and traffic laws, they would have to be a law enforcement officer. Which means they would have to go through police academy training and be CLEST certified and the city would bear the cost just the same as for a police officer.

Prevalence of Marshals in Arkansas

- **A quick search found only one city of the 2nd class that had a marshal and they also have a police department.**
- **Six incorporated towns with populations from 94 to 808 have marshals.**

Basically, nobody uses a Marshal's office as an alternative to a police department or working with the sheriff department.

Interlocal Agreement with Eureka Springs Option

An agreement similar to the county agreement is legally possible. However, there are some important differences.

- The sheriff has an incentive to work cooperatively with Holiday Island in that it is an elected position and Holiday Island residents, vote. Plus, the sheriff already has county wide responsibility.**
- The electors of Holiday Island have no voice in who the mayor is for Eureka Springs and as such, will likely have no say in who is assigned to Holiday Island. The Eureka Springs mayor's first responsibility is to the people of Eureka Springs.**
- How well the interlocal agreement works will likely be very dependent on who is sitting in the respective mayor's chairs at any given time.**

Neither the County nor Eureka Springs are obligated to enter into an interlocal agreement.

Police and Fire

- **For purposes of planning, the assumption being made at this point is that the Holiday Island Suburban Improvement District wishes to transition the operation of the fire department to the city. The city already provides policing coverage by contracting with the Sheriff Department.**
- **Whether we stay with the deputy contracts, form a police department, or select another option the city would create a Department of Public Safety for police and fire.**

Theoretical Department of Public Safety

The City would form a Department of Public Safety Urban Service District which would:

- **Include a police department or another option**
- **Fire Department**
- **Code Enforcement**
- **Registered voters must petition the city council to pass an ordinance establishing the district**
- **Reports to the mayor like a normal city department**
- **Monthly fee is included on the water bill**
- **Fee is fixed for 10 years**
- **District must be reauthorized after 10 years with another petition**
- **Fees collected must go into the USD Fund and cannot be used for other city purposes**

Public Safety Feasibility Budget

\$1,316,533

Option #1 w/ police dept.	2027
Revenue	
Rural Fire District	25,000
Grants	5,000
Fines	20,000
City/Donations/fundraising	<u>15,000</u>
Total revenue	65,000
Employee cost	
Police department	332,022
Fire department	<u>397,331</u>
Total employee costs	729,353
Operating expense	
Police department	76,200
Fire department	<u>176,750</u>
Total operating expense	252,950
Insurance (allocation from Admin)	26,000
Total expense	1,008,303
Contingency reserve	
Police department	40,822
Fire department	<u>57,408</u>
Total contingency expense	98,230
Capital reserve	
Police department	60,000
Fire department	<u>150,000</u>
Total capital reserve	<u>210,000</u>
Total USD Expense	1,316,533

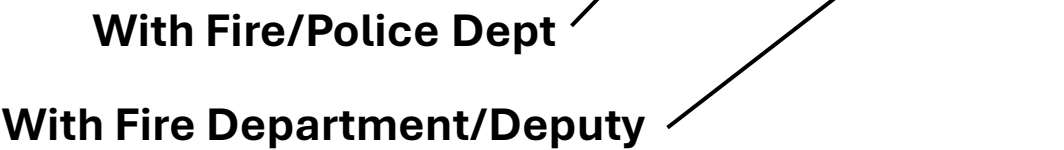
10 - Year Average Expenses @ 3% Inflation

	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037
Employee cost	729,353	751,234	773,771	796,984	820,893	845,520	870,886	897,012	923,923	951,640
Operating expense	278,950	287,319	295,938	304,816	313,961	323,380	333,081	343,073	353,366	363,966
Contingency	98,230	102,159	106,246	110,496	114,915	119,512	124,292	129,264	134,435	139,812
Capital spending	<u>210,000</u>	<u>218,400</u>	<u>227,136</u>	<u>236,221</u>	<u>245,670</u>	<u>255,497</u>	<u>265,717</u>	<u>276,346</u>	<u>287,400</u>	<u>298,895</u>
Total Expense	1,316,533	1,359,111	1,403,090	1,448,517	1,495,440	1,543,909	1,593,976	1,645,695	1,699,122	1,754,314

**10-Year Average w/police option
= \$1,525,971**

Public Safety (Police and Fire) Urban Service District Fee

	W/Police	W/Deputy
Billable units	1645	1645
Annual fee revenue	1,460,971	1,040,044
Annual fee	888	632
Monthly fee	74	53



Funding the Start Up Cost

The start up cost for a police department is estimated to be between \$280,000 and \$300,000. The difference in cost between a full year of a police department and a sheriff deputy contract is estimated to be \$357,000. The plan would be to extend the deputy contract through the 1st year of the Urban Service District operation and use the cost difference to fund the start up.

Year one

Deputy contract in year 1	\$165,000
---------------------------	-----------

Fire	<u>794,489</u>
------	----------------

Adjusted year 1 total	<u>959,489</u>
-----------------------	----------------

Delta to full 1st year w/police	\$357,044
--	------------------

Why do we need an Urban Service District with a fee when other cities don't?

Reason #1

Most cities have a sales tax base sufficient to support police, fire and many other services.

Sales Taxes

(From the 5-2-26 Presentation)

- **Cities in Arkansas generate much of their revenue, generally well over half, from sales tax.**
- **The next slide shows sales tax revenue for several small cities in Arkansas.**
- **As you will see, the average annual revenue per person per 1% of tax is \$239.**

			Revenue						
City	Population	%	July	December	Average	Annualized	Per capita/ percent	County	<i>July Rev from their county</i>
Calico Rock	2117	3	71,880	62,617	67,249	806,982	127	Izard	0
Charleston	2611	1.5	49,594	50,810	50,202	602,424	154	Franklin	39,041
Damascus	389	1	11,509	12,261	11,885	142,620	367	Faulkner	0
Green Forest	3295	2.25	130,776	122,444	126,610	1,519,320	205	Carroll	0
Hardy	773	1	35,953	29,435	32,694	392,328	508	Sharp	11,926
Hoxie	2589	1	25,456	24,847	25,152	301,818	117	Lawrence	26,422
Imboden	770	1	13,014	15,116	14,065	168,780	219	Lawrence	6,508
Lake Village	1850	2	95,199	92,342	93,771	1,125,246	304	Chicot	22,731
Manilla	3736	1.25	56,465	62,730	59,598	715,170	153	Mississippi	77,761
Prescott	2909	2	116,911	117,511	117,211	1,406,532	242	Nevada	32,559
Averages	2104	1.6	60,676	59,011	59,844	718,122	239		

Cherokee Village and Horseshoe Bend

But Cherokee Village and Horseshoe Bend are significantly less at only about \$80 per person per percent of tax.

Cherokee Village	4979	1	31987	33360	32,674	392,082	79	Sharp/Fulton	72,870
Horseshoe Bend	2574	2	37,745	32,185	34,965	419,580	82	Izard/Sharp	218

Holiday Island is likely in this range

Why?

Sales tax dollars go to the cities where people are spending their money.

Why the Difference?

Most cities *grow organically*.

- In “organic” cities the population is primarily hometown residents who are raising their families there, doing their shopping there, eating at their restaurants, sending their kids to school there, buying most everything they need there. And are possibly the hub of a rural area.

Horseshoe Bend and Cherokee Village on the other hand, like Holiday Island, were *created by developers* for retirement living.

- The population is primarily retired.
- All three cities are within 20 minutes of a Walmart in another city and within an hour from a major city where the residents go and spend their money. They only buy the necessities locally or online.
- Some only live in their Holiday Island home part time.
- Holiday Island has the added disadvantage of being 5 miles from a tourist town with over 70 places to eat and be entertained.

Holiday Island Sales Tax Potential

- **The 2020 census population for Holiday Island is 2399. However more recent population estimates put the population at 2452. That would seem to be a reasonable number to use for estimating sales tax potential.**
- **Using a population of 2452 and a sales tax yield of \$82.00/person per percent of tax, a 2.5% sales tax would yield \$502,660.**

Why do we need an Urban Service District with a fee when other cities don't?

Reason #2

Holiday Island's atypical Fire Department Cost Structure

Fire Department - Background

- **Fire department budgets for a city of 2500 typically runs \$250,000 on the high side vs Holiday Island @ \$574,081.**
- **The current operating budget for the fire department is felt to be justifiable even though it may be more than most cities our size due to how spread-out Holiday Island is, the number of residents requiring more medical assistance, and the difficulty getting volunteers due to most of the population being retired.**
- **The current capital reserve to replace trucks and maintain four fire stations is inadequate.**

Next Step – The Petition Process

- **The police department, along with the fire department, would be funded by a monthly Urban Service District fee added to the water bill.**
- **An Urban Service District can be established by ordinance by the city council upon being presented with a petition from the qualified electors (registered voters) of Holiday Island.**
- **Signatures equaling a minimum of 25% of the Holiday Island electors that voted in the last election for governor is required which is 325 signatures.**

How Do We Decide Police or Deputies?

- **Circulate a petition to form an Urban Service District to include a police department and the fire department.**
- **Signing the petition would constitute a vote for the police department. If the petition fails to get the required signatures, another petition would be circulated to form an Urban Service District authorizing a new interlocal agreement with the Sheriff Department.**
- **If neither petition is successful, the transfer of the fire department to the city would be put on hold.**

Questions and Comments

- **HISID BOC & City Council**
- **Public**